LEGISLATURE OF THE STATE OF IDAHO

Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 897

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-3622VV, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE IDAHO INFORMATION TECHNOLOGY EQUIPMENT SALES TAX EXEMPTION; AMENDING SECTION 63-4502, IDAHO CODE, TO LIMIT ELIGIBILITY FOR THE TAX EXEMPTION FOR NEW CAPITAL INVESTMENTS AND TO MAKE TECHNICAL CORRECTIONS; AMENDING SECTION 50-2903, IDAHO CODE, TO PROVIDE A CORRECT CODE REFERENCE; AND DECLARING AN EMERGENCY AND PROVIDING RETROACTIVE APPLICATION.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-3622VV, Idaho Code, be, and the same is hereby amended to read as follows:

63-3622VV. IDAHO INFORMATION TECHNOLOGY EQUIPMENT. (1) ~~On~~ Except as otherwise provided in this section, on and after July 1, 2020, there is exempted from the taxes imposed by this chapter the purchase or use of eligible server equipment and new data center facilities, as defined in this section, for a period of twenty (20) years from the date a qualifying business entity's final approval certification is issued by the state tax commission pursuant to subsection (2)(l)(ii) of this section. The exemption provided in this section shall be available only to qualifying business entities and contractors installing eligible server equipment or building new data center facilities for qualifying business entities. The exemption provided in this section shall not be available for property that has been the subject of business incentives granted to a taxpayer or its affiliates, pursuant to the Idaho reimbursement incentive act, sections 67-4737 through 67-4744, Idaho Code. For purchases related to data centers that commenced construction on or after April 1, 2026, the exemption provided in this section shall apply only to eligible server equipment.

(2) As used in this section:

(a) "Business entity" means a separate legal entity or separately operated segment of business that exists for the primary purpose of engaging in a commercial activity for profit and whose sole purpose is the operation of a data center. For the purposes of this section, a separately operated segment of business is a segment of a business for which separate records are maintained and that is operated by an employee or employees whose primary employment responsibility is to operate the business segment.

(b) "Cabling" means a fiber or copper cable used in data centers to connect information sources to a server or storage device.

(c) "Capital investment" means real or tangible personal property that is purchased for use in Idaho and is used by a business entity for the purpose of operating a data center.

(d) "Chiller" means a cooling system used in data centers to remove heat from an element and deposit it into another element.

(e) "Commenced construction" or "commences construction" means physical placement, assembly, or installation of materials or equipment that will make up part of a data center and that takes place at the site of the proposed data center.

~~(e)~~ (f) "Commencement of operations" means the date on which a certificate of occupancy is issued for a data center.

~~(f)~~ (g) "Data center" means a facility comprised of one (1) or more buildings in Idaho that is used to house eligible server equipment for the transmission and storage of data where the facility has the following characteristics:

(i) Uninterruptible power supplies, generator power, or both;

(ii) Sophisticated fire suppression and prevention systems; and

(iii) Enhanced physical security and restricted access.

~~(g)~~ (h) "Eligible server equipment" means new server equipment acquired by a qualifying business entity as described in this subsection that is maintained and operated in a data center located in Idaho for the sole purpose of data transmission and storage services, providing data and transaction processing services, information technology services, or computer collocation services. "Eligible server equipment" includes servers, rack servers, chillers, storage devices, generators, cabling, and enabling software integral to or installed on such equipment.

~~(h)~~ (i) "Generator" means an engine used in data centers to convert mechanical energy into electricity.

~~(i)~~ (j) "New data center facilities" means buildings or structural components of buildings, including equipment, materials, and fixtures thereof, that are used in or intended for use primarily as a data center in Idaho.

~~(j)~~ (k) "New jobs" means new jobs created in Idaho that are nonseasonal, full-time jobs that collectively pay an average weekly wage that equals or exceeds the average weekly wage for the county where the data center is located, as determined by the most recent report of the United States bureau of labor statistics. A job that merely changes locations within the state of Idaho shall not be considered a new job under this section. New jobs must exceed the business entity's highest number of full-time employees in Idaho during the twenty-four (24) months immediately preceding the commencement of operations of the data center.

~~(k)~~ (l)(i) "Qualifying business entity" means a business entity that certifies to the state tax commission that it will ~~make~~:

1. Make capital investments in one (1) or more data centers after July 1, 2020, in amounts of at least two hundred fifty million dollars ($250,000,000) in the aggregate within the first five (5) years after commencement of construction ~~and that it will create~~;

2. Create and maintain at least thirty (30) new jobs at the data center within two (2) calendar years after the commencement of operations~~.~~;

3. For a qualifying business entity that commences construction on a data center on or after April 1, 2026, receive electricity service under an electricity rate schedule or energy service agreement that fully recovers from the qualifying business entity all costs incurred by the utility in providing electricity to the property for which the exemption is claimed; and

4. For a qualifying business entity that commences construction on a data center on or after April 1, 2026, prior to commencing construction of a data center, provide written notice to the local water provider serving such proposed data center's location and the department of water resources detailing the anticipated water consumption needs of the data center to ensure that the water consumption is compatible with the location in which the data center is being constructed. Proprietary information submitted to the local water provider and the department of water resources shall be confidential. A qualifying business entity is encouraged to take action to conserve, reuse, and replace water. This includes but is not limited to:

(A) Using water-efficient fixtures and practices;

(B) Treating, infiltrating, or harvesting rainwater;

(C) Recirculating or recycling water within the cooling system before discharging;

(D) Partnering with state and local governmental entities and private individuals and entities to use data center discharge water for irrigation, water conservation, aquifer recharge, or other beneficial purposes, if available;

(E) Using reclaimed water where possible for data center operations; and

(F) Supporting water restoration efforts in local watersheds.

(ii) Such business entities shall be entitled to a provisional exemption pursuant to this section during the period in which they make capital investments in data center property. If a business entity fails to meet the ~~investment and job creation~~ requirements provided within the time periods required in this section, it shall pay sales or use taxes that would have been due if not for the granting of the provisional exemption. If a business entity meets the ~~investment and job creation~~ requirements provided within the time periods required in this section, its provisional exemption shall become final ~~without further action~~ and the state tax commission shall issue and deliver a written certification to the qualifying business entity confirming such final approval, and thereafter the exemption shall also apply to all additional purchases of eligible server equipment ~~and purchases associated with constructing new data center facilities~~ until the exemption expires after the time period provided in subsection (1) of this section.

~~(l)~~ (m) "Rack server" means a computer in a data center dedicated to use as a server and designed to be installed in a framework called a rack.

~~(m)~~ (n) "Server" means a computer or computer program used in data centers that manages access to a centralized resource or service in a network.

~~(n)~~ (o) "Storage device" means a piece of computer equipment on which information can be stored and that is used in data centers.

(3) The state tax commission shall prepare and file the following reports with the senate local government and taxation committee and the house revenue and taxation committee:

(a) Starting in 2027, the state tax commission shall use anonymized and aggregated data to prepare and file a report no later than February 1 each year detailing the approximate amount of sales tax revenue forgone by the state in the previous calendar year due to the exemption provided in this section.

(b) Starting in 2032, and every five (5) years thereafter, the state tax commission shall prepare and file along with its report pursuant to paragraph (a) of this subsection, an additional report detailing the following:

(i) The approximate number of jobs that qualifying business entities have created in the state that are directly related to the data centers that are the subject of the exemption provided in this section;

(ii) The total amount of capital investment that qualifying business entities have invested in the state that is directly related to the data centers that are the subject of the exemption provided in this section;

(iii) A summary of the electricity usage of data centers that are the subject of the exemption provided in this section and how such electricity usage has impacted the availability and price of electricity in the communities surrounding such data centers; and

(iv) A summary of the water usage of data centers that are the subject of the exemption provided in this section and how such water usage has impacted the availability and price of water in the communities surrounding such data centers.

~~(3)~~ (4) The state tax commission may promulgate rules to administer and enforce the provisions of this section, including the promulgation of rules relating to the provision of information necessary to certify that the taxpayer satisfies the criteria for a qualifying business entity. For the purpose of carrying out its duties to administer and enforce the provisions of this section, the state tax commission shall have the powers and duties provided by sections 63-217, 63-3038, 63-3039, 63-3042 through 63-3067, 63-3068, 63-3071, and 63-3074 through 63-3078, Idaho Code.

SECTION 2. That Section 63-4502, Idaho Code, be, and the same is hereby amended to read as follows:

63-4502. TAX EXEMPTION FOR NEW CAPITAL INVESTMENTS. (1) For calendar years beginning on or after January 1, 2008, the net taxable value of all property of a taxpayer, whether acquired before, during or after the qualifying period, in excess of four hundred million dollars ($400,000,000) located within a single county in Idaho shall be exempt from property taxation and any special assessment, but only if the taxpayer makes a qualifying new capital investment as defined in subsection (2) of this section related to a new plant and building facilities that commenced construction prior to April 1, 2026. Beginning in tax year 2026 and each tax year thereafter, for any taxpayer qualifying for this exemption in both the current tax year and the immediately preceding tax year, such nonexempt amount shall be adjusted annually. The adjusted amount shall equal the amount applicable to the taxpayer for the previous tax year increased by the percentage change in the aggregate property tax budgets adopted by all taxing districts that levy on the property, from the previous year to the current year, excluding any budget increases attributable to new construction or annexation in the current year. The net taxable value in excess of such adjusted nonexempt amount shall be exempt from property taxation and any special assessment.

(2) For purposes of this section, the following definitions shall apply:

(a) "Commenced construction" means physical placement, assembly, or installation of materials or equipment that will make up part of a new plant and building facilities that is the subject of a qualifying new capital investment and that takes place at the project site of such new plant and building facilities.

~~(a)~~ (b) "Qualifying new capital investment" means an investment of at least one billion dollars ($1,000,000,000) made during the qualifying period by the acquisition, construction, improvement or installation of real, operating or personal property related to new plant and building facilities at a project site located within the county referred to in subsection (1) of this section.

~~(b)~~ (c) "New plant and building facilities" means:

(i) Qualified investments as defined in section 63-3029B, Idaho Code; or

(ii) Buildings or structural components of buildings, including equipment, materials and fixtures thereof, whether used at a project site or temporarily stored off-site in the county referred to in subsection (1) of this section and intended for use at a project site.

~~(c)~~ (d) "Qualifying period" means an eighty-four (84) month period of time beginning with the issuance of a building permit for a permanent building structure at a project site and ending no later than eighty-four (84) months ~~a~~ thereafter.

~~(d)~~ (e) "Project site" means an area or areas at which the new plant and building facilities described in ~~subsection (2)(b)~~ paragraph (c) of this subsection are built, installed or constructed.

(3) The property included in the calculation for purposes of determining a qualifying new capital investment value shall include all real or operating property owned, and all personal property owned, leased or rented. With respect to leased or rented personal property, only that portion of the property for which a taxpayer is contractually liable for payment of property taxes thereon shall be included in the calculation of the investment.

(4) Notwithstanding the exemption provided in subsection (4) of section 63-3029B, Idaho Code, no other exemption from property tax or any spe-

cial assessment provided by the statutes of this state shall be applicable to any property described in subsection (2) of this section with respect to a year in which the incentives set forth in subsection (1) of this section apply to any of the same property.

(5) Property subject to the provisions of this section shall not be included on any property roll or any new construction roll prepared by the county assessor in accordance with section 63-301 or 63-301A, Idaho Code, respectively.

(6) The state tax commission shall adopt all rules that may be necessary to implement the provisions of this section.

SECTION 3. That Section 50-2903, Idaho Code, be, and the same is hereby amended to read as follows:

50-2903. DEFINITIONS. The following terms used in this chapter shall have the following meanings, unless the context otherwise requires:

(1) "Act" or "this act" means this revenue allocation act.

(2) "Agency" or "urban renewal agency" means a public body created pursuant to section 50-2006, Idaho Code.

(3) "Authorized municipality" or "municipality" means any county or incorporated city that has established an urban renewal agency or by ordinance has identified and created a competitively disadvantaged border community.

(4) Except as provided in section 50-2903A, Idaho Code, "base assessment roll" means the equalized assessment rolls, for all classes of taxable property, on January 1 of the year in which the local governing body of an authorized municipality passes an ordinance adopting or modifying an urban renewal plan containing a revenue allocation financing provision, except that the base assessment roll shall be adjusted as follows: the equalized assessment valuation of the taxable property in a revenue allocation area as shown upon the base assessment roll shall be reduced by the amount by which the equalized assessed valuation as shown on the base assessment roll exceeds the current equalized assessed valuation of any taxable property located in the revenue allocation area and by the equalized assessed valuation of taxable property in such revenue allocation area that becomes exempt from taxation subsequent to the date of the base assessment roll. The equalized assessed valuation of the taxable property in a revenue allocation area as shown on the base assessment roll shall be increased by the equalized assessed valuation, as of the date of the base assessment roll, of taxable property in such revenue allocation area that becomes taxable after the date of the base assessment roll. Any increase in valuation due to property owned, leased, or used in the operation of a business entity that makes capital investments in one (1) or more data centers, as defined in section 63-3622VV(2)~~(f)~~, Idaho Code, after July 1, 2020, in amounts of at least two hundred fifty million dollars ($250,000,000) in the aggregate within the first five (5) years after commencement of construction, that creates and maintains at least thirty (30) new jobs at the data center within two (2) calendar years after the commencement of operations, and that is located in a revenue allocation area for which no bonds have been issued pursuant to section 50-2909, Idaho Code, as of March 16, 2023, shall be added to the base assessment roll in the current tax year. An urban renewal plan containing

a revenue allocation financing provision adopted or modified prior to July 1, 2016, is not subject to section 50-2903A, Idaho Code. For plans adopted or modified prior to July 1, 2016, and for subsequent modifications of those urban renewal plans, the value of the base assessment roll of property within the revenue allocation area shall be determined as if the modification had not occurred.

(5) "Budget" means an annual estimate of revenues and expenses for the following fiscal year of the agency. An agency shall, by September 1 of each calendar year, adopt and publish, as described in section 50-1002, Idaho Code, a budget for the next fiscal year. An agency may amend its adopted budget using the same procedures as used for adoption of the budget. For the fiscal year that immediately predates the termination date for an urban renewal plan involving a revenue allocation area or will include the termination date, the agency shall adopt and publish a budget specifically for the projected revenues and expenses of the plan and make a determination as to whether the revenue allocation area can be terminated before the January 1 of the termination year pursuant to the terms of section 50-2909(4), Idaho Code. In the event that the agency determines that current tax year revenues are sufficient to cover all estimated expenses for the current year and all future years, by September 1 the agency shall adopt a resolution advising and notifying the local governing body, the county auditor, and the state tax commission and recommending the adoption of an ordinance for termination of the revenue allocation area by December 31 of the current year and declaring a surplus to be distributed as described in section 50-2909, Idaho Code, should a surplus be determined to exist. The agency shall cause the ordinance to be filed with the office of the county recorder and the Idaho state tax commission as provided in section 63-215, Idaho Code. Upon notification of revenues sufficient to cover expenses as provided herein, the increment value of that revenue allocation area shall be included in the net taxable value of the appropriate taxing districts when calculating the subsequent property tax levies pursuant to section 63-803, Idaho Code. The increment value shall also be included in subsequent notification of taxable value for each taxing district pursuant to section 63-1312, Idaho Code, and subsequent certification of actual and adjusted market values for each school district pursuant to section 63-315, Idaho Code.

(6) "Clerk" means the clerk of the municipality.

(7) "Competitively disadvantaged border community area" means a parcel of land consisting of at least forty (40) acres that is situated within the jurisdiction of a county or an incorporated city and within twenty-five (25) miles of a state or international border, which the governing body of such county or incorporated city has determined by ordinance is disadvantaged in its ability to attract business, private investment, or commercial development as a result of a competitive advantage in the adjacent state or nation resulting from inequities or disparities in comparative sales taxes, income taxes, property taxes, population or unique geographic features.

(8) "Deteriorated area" means:

(a) Any area, including a slum area, in which there is a predominance of buildings or improvements, whether residential or nonresidential, which by reason of dilapidation, deterioration, age or obsolescence, inadequate provision for ventilation, light, air, sanitation, or open spaces, high density of population and overcrowding, or the existence of conditions that endanger life or property by fire and other causes, or any combination of such factors, is conducive to ill health, transmission of disease, infant mortality, juvenile delinquency, or crime, and is detrimental to the public health, safety, morals or welfare.

(b) Any area which by reason of the presence of a substantial number of deteriorated or deteriorating structures, predominance of defective or inadequate street layout, faulty lot layout in relation to size, adequacy, accessibility or usefulness, insanitary or unsafe conditions, deterioration of site or other improvements, diversity of ownership, tax or special assessment delinquency exceeding the fair value of the land, defective or unusual conditions of title, or the existence of conditions that endanger life or property by fire and other causes, or any combination of such factors, results in economic underdevelopment of the area, substantially impairs or arrests the sound growth of a municipality, retards the provision of housing accommodations or constitutes an economic or social liability and is a menace to the public health, safety, morals or welfare in its present condition and use.

(c) Any area which is predominately open and which because of obsolete platting, diversity of ownership, deterioration of structures or improvements, or otherwise, results in economic underdevelopment of the area or substantially impairs or arrests the sound growth of a municipality. The provisions of section 50-2008(d), Idaho Code, shall apply to open areas.

(d) Any area which the local governing body certifies is in need of redevelopment or rehabilitation as a result of a flood, storm, earthquake, or other natural disaster or catastrophe respecting which the governor of the state has certified the need for disaster assistance under any federal law.

(e) Any area which by reason of its proximity to the border of an adjacent state is competitively disadvantaged in its ability to attract private investment, business or commercial development which would promote the purposes of this chapter.

(f) Deteriorated area does not mean not developed beyond agricultural, or any agricultural operation as defined in section 22-4502(1), Idaho Code, or any forest land as defined in section 63-1701(4), Idaho Code, unless the owner of the agricultural operation or the forest landowner of the forest land gives written consent to be included in the deteriorated area, except for an agricultural operation or forest land that has not been used for three (3) consecutive years.

(9) "Facilities" means land, rights in land, buildings, structures, machinery, landscaping, extension of utility services, approaches, roadways and parking, handling and storage areas, and similar auxiliary and related facilities.

(10) "Increment value" means the total value calculated by summing the differences between the current equalized value of each taxable property in the revenue allocation area and that property's current base value on the base assessment roll, provided such difference is a positive value.

(11) "Local governing body" means the city council or board of county commissioners of a municipality.

(12) "Manufacturing project" means a manufacturing or industrial project and ancillary uses that manufactures, processes, or fabricates tangible personal property as defined in section 63-3616, Idaho Code.

(13) "Plan" or "urban renewal plan" means a plan, as it exists or may from time to time be amended, prepared and approved pursuant to sections 50-2008 and 50-2905, Idaho Code, and any method or methods of financing such plan, which methods may include revenue allocation financing provisions.

(14) "Project" or "urban renewal project" or "competitively disadvantaged border areas" may include undertakings and activities of a municipality in an urban renewal area for the elimination of deteriorated or deteriorating areas and for the prevention of the development or spread of slums and blight and may involve slum clearance and redevelopment in an urban renewal area, or rehabilitation or conservation in an urban renewal area, or any combination or part thereof in accordance with an urban renewal plan. Such undertakings and activities may include:

(a) Acquisition of a deteriorated area or a deteriorating area or portion thereof;

(b) Demolition and removal of buildings and improvement;

(c) Installation, construction, or reconstruction of streets, utilities, parks, playgrounds, open space, off-street parking facilities, public facilities, public recreation and entertainment facilities or buildings and other improvements necessary for carrying out, in the urban renewal area or competitively disadvantaged border community area, the urban renewal objectives of this act in accordance with the urban renewal plan or the competitively disadvantaged border community area ordinance.

(d) Disposition of any property acquired in the urban renewal area or the competitively disadvantaged border community area, including sale, initial leasing, or retention by the agency itself, or the municipality creating the competitively disadvantaged border community area at its fair value for uses in accordance with the urban renewal plan except for disposition of property to another public body;

(e) Carrying out plans for a program of voluntary or compulsory repair and rehabilitation of buildings or other improvements in accordance with the urban renewal plan;

(f) Acquisition of real property in the urban renewal area or the competitively disadvantaged border community area that, under the urban renewal plan, is to be repaired or rehabilitated for dwelling use or related facilities, repair or rehabilitation of the structures for guidance purposes, and resale of the property;

(g) Acquisition of any other real property in the urban renewal area or competitively disadvantaged border community area where necessary to eliminate unhealthful, insanitary or unsafe conditions, lessen density, eliminate obsolete or other uses detrimental to the public welfare, or otherwise to remove or to prevent the spread of blight or deterioration, or to provide land for needed public facilities or where necessary to accomplish the purposes for which a competitively disadvantaged border community area was created by ordinance;

(h) Lending or investing federal funds; and

(i) Construction of foundations, platforms and other like structural forms.

(15) "Project costs" includes, but is not limited to:

(a) Capital costs, including the actual costs of the construction of public works or improvements, facilities, buildings, structures, and permanent fixtures; the demolition, alteration, remodeling, repair or reconstruction of existing buildings, structures, and permanent fixtures; the acquisition of equipment; and the clearing and grading of land;

(b) Financing costs, including interest during construction and capitalized debt service or repair and replacement or other appropriate reserves;

(c) Real property assembly costs, meaning any deficit incurred from the sale or lease by a municipality of real or personal property within a revenue allocation district;

(d) Professional service costs, including those costs incurred for architectural, planning, engineering, and legal advice and services;

(e) Direct administrative costs, including reasonable charges for the time spent by city or county employees in connection with the implementation of a project plan;

(f) Relocation costs; and

(g) Other costs incidental to any of the foregoing costs.

(16) "Revenue allocation area" means that portion of an urban renewal area or competitively disadvantaged border community area where the equalized assessed valuation, as shown by the taxable property assessment rolls, of which the local governing body has determined, on and as a part of an urban renewal plan, is likely to increase as a result of the initiation of an urban renewal project or competitively disadvantaged border community area. The base assessment roll or rolls of revenue allocation area or areas shall not exceed at any time ten percent (10%) of the current assessed valuation of all taxable property within the municipality.

(17) "State" means the state of Idaho.

(18) "Tax" or "taxes" means all property tax levies upon taxable property.

(19) "Taxable property" means taxable real property, personal property, operating property, or any other tangible or intangible property included on the equalized assessment rolls.

(20) "Taxing district" means a taxing district as defined in section 63-201, Idaho Code, as that section now exists or may hereafter be amended.

(21) "Termination date" means a specific date no later than twenty (20) years from the effective date of an urban renewal plan or as described in section 50-2904, Idaho Code, on which date the plan shall terminate. Every urban renewal plan shall have a termination date that can be modified or extended subject to the twenty (20) year maximum limitation, except as provided in section 50-2904(5), Idaho Code. Provided however, the duration of a revenue allocation financing provision may be extended as provided in section 50-2904, Idaho Code.

SECTION 4. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after its passage and approval, and retroactively to January 1, 2026.